

TENCENT MUSIC ENTERTAINMENT GROUP

(NYSE (ADS): TME)

The Spotify of China, Priced Like a Karaoke App in Decline

BUY — \$13.00 Target

Equity Research Note · Communication Services — Online Music & Audio · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$13.00	\$7.74	+68.0%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$12.6 bn (~1.63 bn ADS × \$7.74)	Music-services revenue	RMB 7.61 bn in Q2 2026 (+11% YoY)
Price (Oct 2, 2026)	\$7.74	Balance sheet	Net cash; \$2.4 bn Ximalaya deal funded internally; buybacks begun
52-week range	~\$7.66 – \$23.86	Ximalaya	China's leading long-form audio platform, acquired May 2026
Paying users	120 mn+ (Q4 2025); ~20% of music MAU vs ~40% for Spotify in mature markets	Next catalyst	Q3 2026 earnings; Ximalaya integration and synergy disclosure
Super VIP tier	20 mn+ subscribers at ~RMB 40/mo (5× standard ARPPU)		

1 Investment Thesis

Tencent Music is the Spotify of China that the market still prices like a karaoke-app operator in structural decline. That framing is years out of date. The revenue mix has pivoted decisively toward online music services — subscriptions, advertising, digital albums, concerts — which grew 11% year over year in the second quarter of 2026 to RMB 7.61 billion, while the legacy social-entertainment business continues its managed shrink. At \$7.74 the shares price in a future where Chinese consumers never pay for music; the reality is that they increasingly do, and Tencent Music collects the toll.

The core of the case is paid penetration. Tencent Music ended 2025 with well over 120 million paying users, yet that is still only around a fifth of its music monthly active users — roughly half Spotify's conversion rate in mature markets. Every point of conversion is almost pure margin, because the content costs are largely fixed. On top of that, the Super VIP tier — priced at roughly RMB 40 per month versus RMB 8 for standard — passed 20 million subscribers by year-end 2025 and is the engine of average-revenue-per-user expansion. A subscriber base migrating up a 5× price ladder is one of the most attractive unit-economics stories in global consumer internet.

The \$2.4 billion acquisition of Ximalaya, completed in May 2026, extends the runway further. Ximalaya is China's leading online audio platform — podcasts, audiobooks, long-form audio — and folding it into Tencent Music creates cross-selling between music subscribers and audio listeners while consolidating the broader audio market. The market has treated the deal as a distraction; we see it as the company buying the adjacent category it would otherwise have to compete with, at a price its balance sheet easily absorbs.

We do not minimize the China discount: the VIE structure, regulatory overhang, and geopolitical risk are real, and our valuation charges a full 250bp country-risk premium for them. But after that charge, the math still works. Our \$13.00 fair value implies the market eventually pays a normal multiple for a subscription business with 120 million-plus paying

users, rising ARPPU, and a net-cash balance sheet — not a heroic multiple, just a normal one. The bear case at \$4.84, well below the current price, captures what happens if regulation or competition breaks the story; we think that outcome is over-weighted in today's price. The rating is BUY.

Why the market will care (eventually)

- **Conversion has a long runway.** Paid penetration of ~20% of music MAU against ~40% for Spotify in mature markets, with hundreds of millions of free users in the funnel and AI-personalized recommendations purpose-built to harvest the shift toward paying for digital content.
- **SVIP is the ARPPU engine.** Twenty million-plus subscribers paying roughly 5× the standard tier, with concert ticketing, merchandise, and premium audio benefits still being layered onto the membership — ARPPU expansion with minimal incremental cost.
- **The China discount is priced twice.** Once in the multiple and once in the growth assumptions — while the business compounds subscribers at a double-digit pace with a net-cash balance sheet. That double-counting is the asymmetry.

2 Business Overview — What Tencent Music Entertainment Group Is Doing

(Shenzhen, China; CEO Ross Liang)

Tencent Music Entertainment Group, headquartered in Shenzhen, operates China's largest online music platform through four flagship products: QQ Music, Kugou Music, Kuwo Music, and the WeSing karaoke app. Following the May 2026 closing of the Ximalaya acquisition, it also owns China's leading long-form audio platform. The company reports in two segments: music-related services (subscriptions, digital albums, advertising, concerts, and artist merchandise) and social entertainment (live streaming and online karaoke tipping).

The strategic pivot of the past several years has been the deliberate shift from tipping-driven social entertainment toward subscription-driven music services. Music-related services now account for the large majority of revenue and essentially all of the growth, while social entertainment — pressured by regulatory tightening around live streaming — has been managed for cash. The subscription business benefits from Tencent's broader ecosystem: distribution through WeChat and QQ, AI-driven recommendation, and partnerships with domestic and international labels that deepen the content moat.

Economically, this is a classic subscription compounder in its early innings. Content licensing costs scale more slowly than subscriber revenue, so incremental paying users carry very high margins; the SVIP tier amplifies this by quintupling revenue per subscriber for the most engaged cohort. The company holds a substantial net-cash position, funded the Ximalaya deal from its balance sheet, and has begun returning capital through buybacks — unusual financial strength for a business the market prices as fragile.

3 Financial Analysis

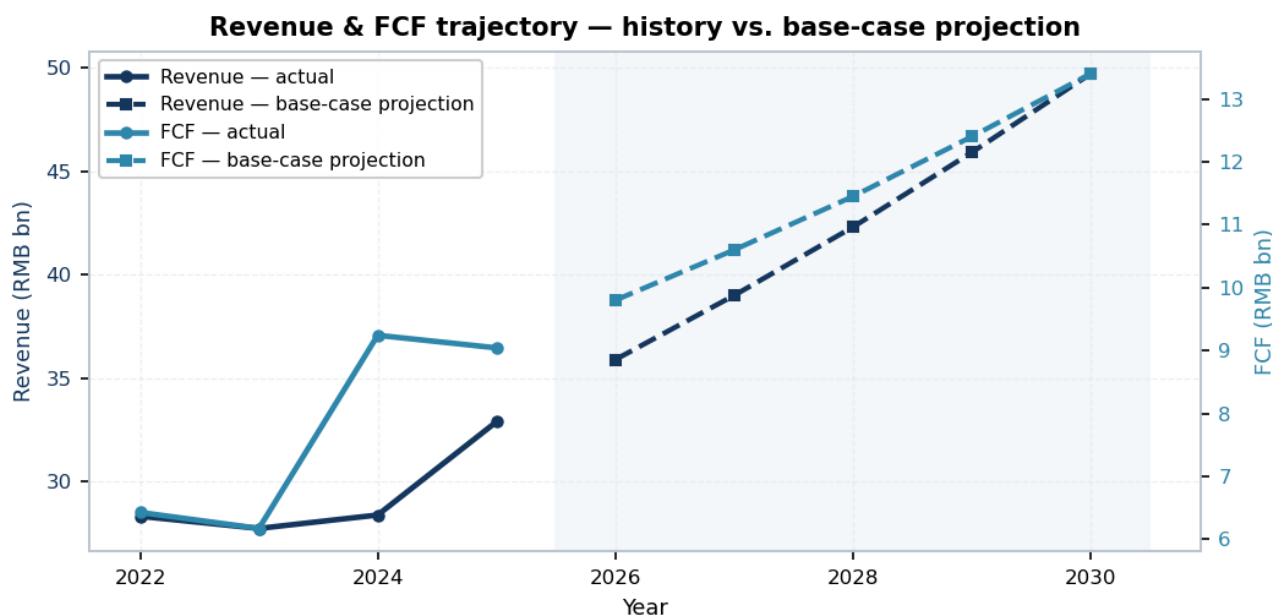
RMB bn	2022	2023	2024	2025
Total revenue	28.34	27.75	28.40	32.90
YoY growth	—	−2.1%	+2.3%	+15.8%
Operating cash flow	7.48	7.34	10.28	10.23
Free cash flow	6.43	6.17	9.24	9.04
2026E (company proj.)	—	—	—	—
Revenue / FCF	35.90	—	—	9.80

Sources: company filings via Yahoo Finance (annual). 2026E–2028E revenue/FCF per company projections (revenue 39.0/42.3, FCF 10.6/11.45 RMB bn). FCF = operating cash flow less capex.

The financial profile is that of a subscription compounder, not a declining karaoke operator. Revenue was RMB 32.9 billion in 2025 (up from RMB 28.3 billion in 2022), with the mix steadily shifting toward high-margin music subscriptions. Operating cash flow has run above RMB 10 billion for two consecutive years, and free cash flow — RMB 9.0 billion in 2025 — converts strongly because the content costs are largely fixed and capex is light. Gross margins are expanding (44.5% in 2026E, rising toward 45%+), exactly what the subscription-pivot thesis predicts.

The balance sheet is a strategic weapon: substantial net cash funded the \$2.4 billion Ximalaya acquisition without strain and supports the buyback program — a capital return unusual for a Chinese internet name at this multiple. At \$7.74 the ADS trades at roughly 9× trailing earnings, a multiple that prices the business as fragile while it compounds paying users at a double-digit pace.

Revenue & cash-flow trajectory

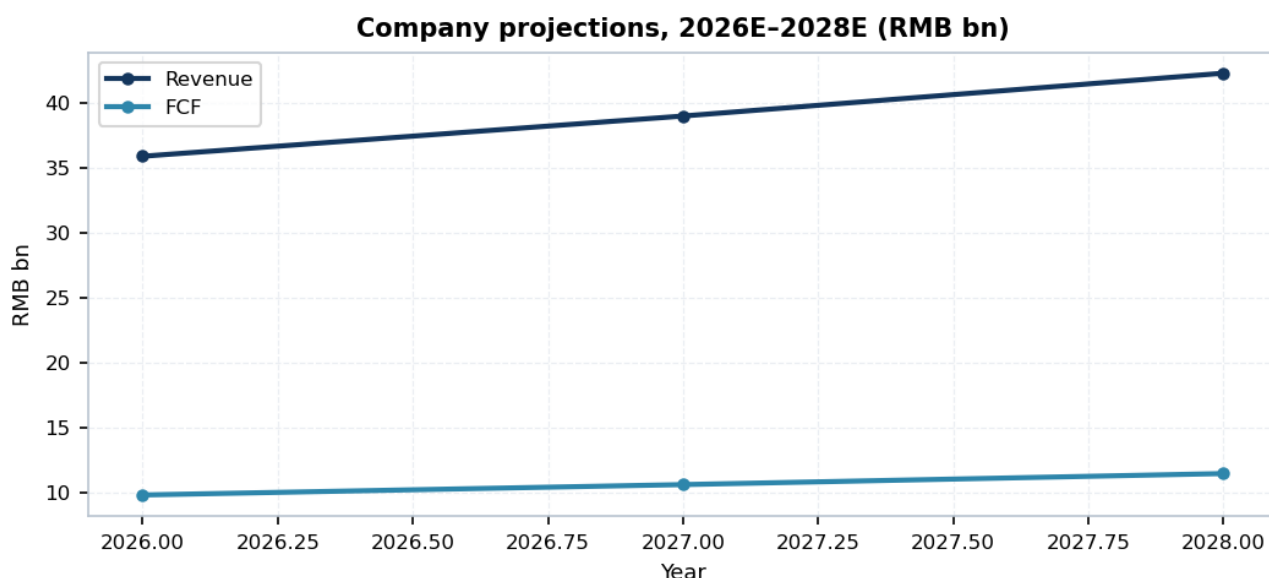


History: company filings via Yahoo Finance (FCF = operating cash flow less capex). 2026E–2028E per company projections; 2029E–2030E base-case extension from the scenario DCF.

4 Moat & Competition

- **The catalog and label relationships.** Partnerships with domestic and international labels, plus exclusive and windowed content, make the music library a moat that a new entrant cannot license its way around cheaply.
- **Distribution through the Tencent ecosystem.** WeChat and QQ distribution plus AI-driven recommendation create a conversion funnel of hundreds of millions of free users that no standalone rival can replicate.
- **Subscription unit economics.** Largely fixed content costs mean every point of paid conversion and every SVIP upgrade is almost pure margin — the classic compounder flywheel, still early.
- **The Ximalaya bundle.** Owning China's leading long-form audio platform alongside the leading music platform enables bundling no competitor can match — if integration executes.
- **The moat's weak link: regulation.** Chinese authorities have previously intervened in live streaming and music copyright; rules on pricing, exclusivity, or content could impair monetization regardless of competitive position.

Company projections, 2026E–2028E (RMB bn)



5 Valuation — 10-year scenario FCFE DCF with China country-risk premium, Fair Value \$13

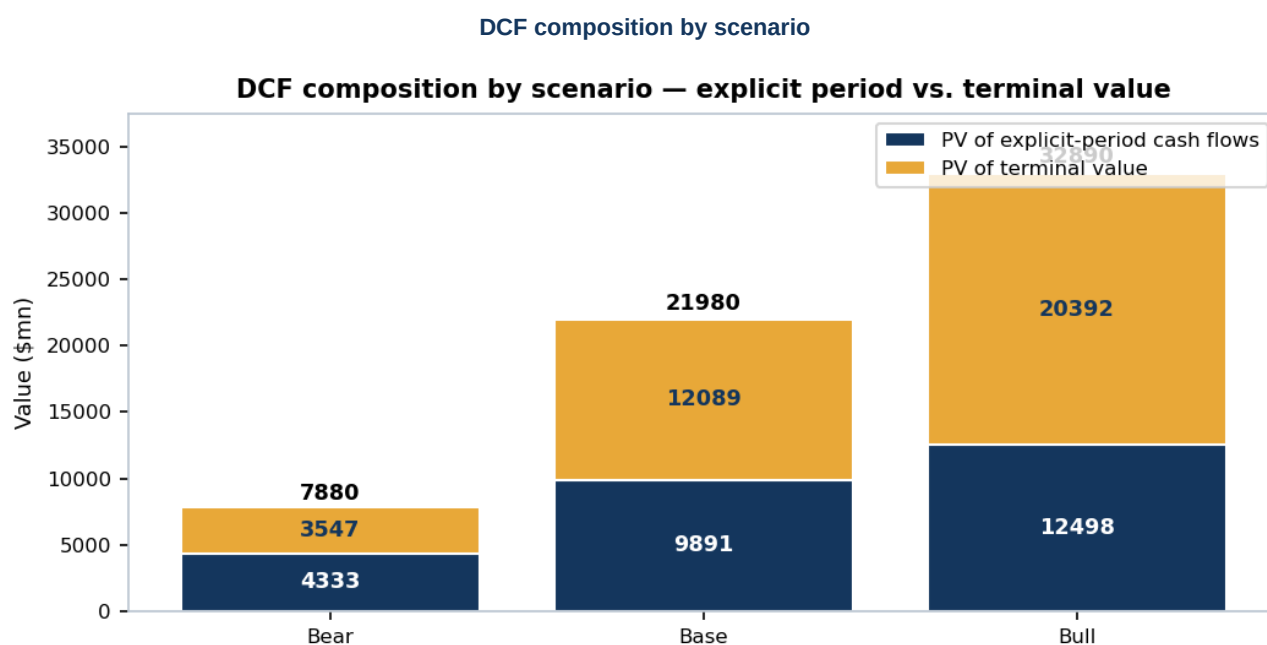
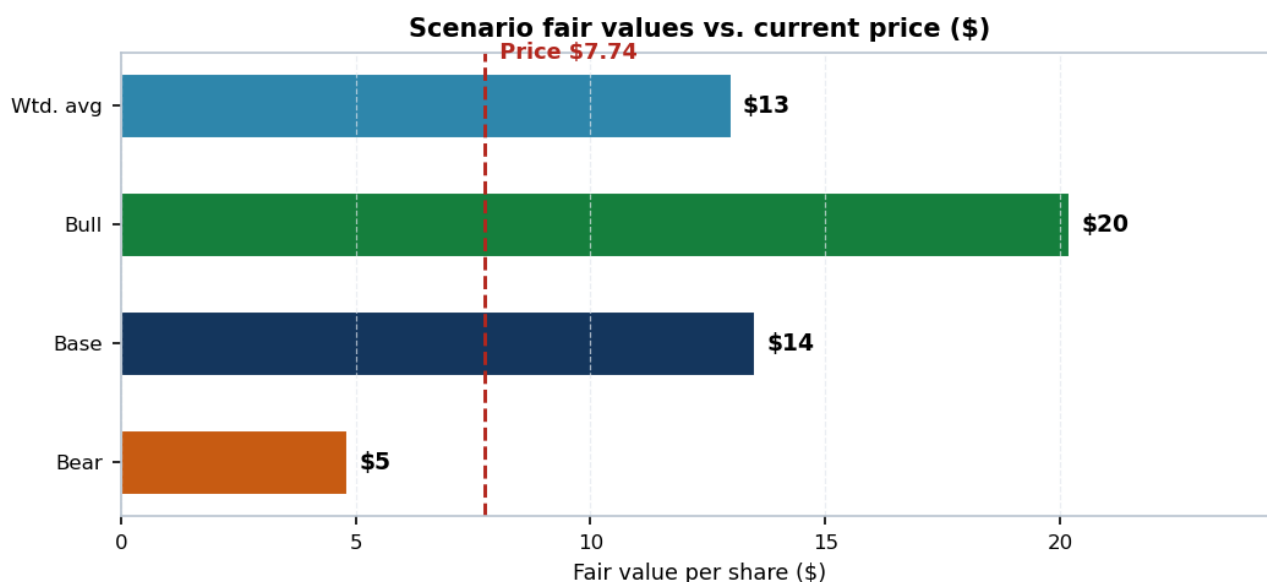
We value Tencent Music on a 10-year probability-weighted scenario DCF of free cash flow to equity — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts that include a full 250bp China country-risk premium: bear 13.0% (base + 250bp: regulatory break, VIE impairment), base 10.5% (country risk fully charged on a subscription compounder), bull 9.0% (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.5% on normalized mid-cycle FCF margins — never peak margins — and regional subscription peers, never US peers alone, anchor the multiple cross-check.

In the base case, paying users keep compounding at a double-digit pace and ARPPU climbs on the SVIP mix shift, with Ximalaya contributing a partial synergy thesis — worth \$13.50 per ADS. The bear case (\$4.84) is the world where regulation or competition breaks the subscription story and the VIE structure impairs ADR holders directly; it sits well below the current price, as the framework requires. The bull case (\$20.20) assumes the full Ximalaya synergy thesis lands, SVIP penetration accelerates, and the market eventually pays a normal subscription multiple. The probability-weighted fair value is \$13.00 — a normal multiple for 120 million-plus paying users, rising ARPPU, and a net-cash balance sheet, not a heroic one.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Regulation or competition breaks the subscription story; VIE/geopolitical impairment hits ADR holders; conversion stalls	+2.0%	22%	13.0% / 1.0%	45%	\$4.84
Base	Paying users compound double-digits; ARPPU climbs on SVIP mix; Ximalaya contributes partial synergies; 250bp country-risk premium charged	+7.5%	28%	10.5% / 2.0%	55%	\$13.50
Bull	Full Ximalaya synergy thesis lands; SVIP penetration accelerates; market pays a normal subscription multiple for the compounder	+11.0%	32%	9.0% / 2.5%	62%	\$20.20
Wtd. avg	Probability-weighted (25/50/25) → \$13.00 target					\$13.00

Scenario fair values are per-ADS equity values from the FCFE DCF (~1.63 bn ADS). $0.25 \times \$4.84 + 0.50 \times \$13.50 + 0.25 \times \$20.20 \approx \13.00 .

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Regulatory risk.** Chinese authorities have previously intervened in live streaming and music copyright; new rules on pricing, exclusivity, or content could impair monetization.
- **VIE / geopolitical risk.** The variable-interest-entity structure and US-China tensions create tail risk for ADR holders, including delisting or ownership-structure scenarios.
- **Competition.** NetEase Cloud Music and short-video platforms (Douyin) compete for user time and music discovery.
- **Ximalaya integration.** The \$2.4 billion acquisition may underdeliver on synergies or distract management from the core subscription engine.

- **Macro sensitivity.** A Chinese consumer downturn would slow discretionary subscription uptake and advertising revenue.

What would change our mind

Downgrade to HOLD on: paying-user net additions turning negative for two consecutive quarters — the conversion engine stalling would break the thesis; SVIP subscriber count declining or ARPPU falling year over year, indicating the premium tier has hit a wall; a regulatory action that directly caps music subscription pricing or mandates content sharing that destroys the catalog moat; Ximalaya write-downs or disclosure that integration synergies will not materialize; or any credible move by authorities against the VIE structure itself — the unhedgeable tail, on which we would exit on evidence it is materializing, not after. We watch: paying-user net adds, SVIP penetration, ARPPU, and regulatory headlines.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For Chinese issuers we add an explicit country-risk premium to the discount rate and model the VIE structure in the bear case.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.